COURSE

## Pearson Edexcel International GCSE in Business (4BS1)

# Sources of business finance

**Section 3 · 3.1 Business finance: sources**

Revision for Section 3: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson Edexcel International GCSE Business (4BS1)** | **Sources of business finance** |

THE LESSON

| | | | | | |
|---|---|---|---|---|---|
| **Setup** | | | | | 3 min |
| **Round 1** | | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| **Firm decisions** | **Deals** | TASK 1 **Total to pay back** | TASK 2 **Short-term sources** | | |
| **Round 2** | | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| **Firm decisions** | **Deals** | TASK 3 **Rank total interest** | TASK 4 **Loan or overdraft** | **B2B deal** | |
| **Round 3** | | | | | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| **Firm decisions** | **Deals** | TASK 5 **Loan or own profit** | TASK 6 **Cheaper loan cost** | **B2B deal** | |
| **Final questions** | | | | | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

## Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

## Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Same interest every year.

**Total to pay back?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Loan | **£50,000** |
| Interest, each year | **3%** |
| Repaid over | **4 years** |

METHOD

**Total = loan + years × yearly interest**

£50,000 + 4 × £1,500 = £56,000

**Why:** The loan costs £6,000 in interest.

## Task 2

ROUND 1

You need £8,000 for three weeks to cover a gap.

**Which two sources fit best?**

PICK TWO

- ✔ **A bank overdraft**
- ○ A five-year bank loan
- ○ A mortgage
- ○ Selling shares
- ✔ **Trade credit from a supplier**

**Why:** Short-term needs suit short-term finance.

## Task 3

ROUND 2

Three ways to borrow £10,000, simple interest.

**Order by total interest, cheapest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

**Why:** Interest: £600, £750, £1,600.

## Task 4

ROUND 2

Loan or overdraft?

**Extra cost of the overdraft?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Money needed | **£20,000** |
| Loan interest, for the year | **4%** |
| Overdraft charge, a month | **£200** |
| You need it for | **7 months** |

METHOD

**Extra cost = months × overdraft charge – loan interest**

7 × £200 − £800 = £600

**Why:** The overdraft costs £600 more here.

## Task 5

ROUND 3

You want a £30,000 workshop ramp. You have £40,000 of profit kept in the firm, not needed elsewhere.

**How should you pay, and why?**

PICK A OR B AND GIVE A REASON

- ○ Take a loan at 9%
- ✔ **Use the profit kept in the firm**

**Why:** Retained profit costs no interest and need not be repaid.

## Task 6

ROUND 3

Borrow £25,000.

**Total cost of the cheaper loan, with fees?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Bank interest, each year | **7%** |
| Bank fee, one-off | **£400** |
| Credit firm, interest a year | **9%** |
| Repaid over | **4 years** |

METHOD

**Each loan: interest × years (+ fee); take the cheaper**

Bank £7,400; credit firm £9,000; cheaper £7,400

**Why:** The bank is cheaper, even with the fee counted.

# Final questions

**6**
questions for each pupil

**159**
Level 2 Business questions

**3**
of them on sources of business finance

**The game draws 6 of the 159 Level 2 questions; these 3 are about sources of business finance.**

1 A normally healthy dealer has a short, forecast cash gap before customers pay. Which source may be most suitable?
**An overdraft with a limit covering the temporary gap.**

2 A dealership wants to finance a workshop extension expected to last many years. Why might a long-term loan be suitable?
**Repayments can be spread over the asset's life.**

3 A profitable private company uses accumulated profit to buy diagnostic equipment. What source of finance is this?
**Retained profit.**